Due Diligence Meeting Questions

Project 9 · ten questions for each portfolio manager, each tied to evidence in the due diligence report

Capital Group New Perspective Fund (Class A)

1. Joanna Jonsson and Jonathan Knowles have left the roster since 2020, and three managers joined in 2021–2025. How was their capital reassigned, and how do you decide how much each of the ten sleeves runs?

2. With ten independent sleeves, the fund's active share against ACWI is about 60% and its tracking error 3.7%. What stops the combined portfolio from drifting towards the index, and do you monitor overlap between sleeves?

3. The prospectus says you buy "attractively valued" companies, yet the fund's value (HML) loading is −0.17 (t = −3.5). How do you define attractive valuation in practice?

4. Your rolling 3-year excess return against ACWI has been mostly negative since mid-2023. What explains that period, and what did you change, if anything?

5. How do you measure a company's exposure to global trade and multinational revenue, which is the fund's founding idea, and how much of the portfolio meets that test today?

6. The fund is 11 points overweight Europe and 9 underweight the US. Is this the sum of bottom-up decisions or a view, and who owns the aggregate country risk?

7. The Class A shares carry a 5.75% load. Which share classes could we use, at what expense ratio, and what minimums?

8. With about $170bn in the fund, where does size constrain you (smaller companies, emerging markets, trading costs)?

9. How is each manager paid: on the sleeve's results, the fund's, or Capital Group's? Over what horizon?

10. How much do the named managers have invested in this fund (the SAI ownership ranges), and has that changed?

Dodge & Cox Global Stock Fund (Class I)

1. Diana Strandberg and Karol Marcin are no longer on the committee, which shrank from seven to five. How did decision-making change, and who now leads the global portfolio?

2. Over ten years the fund lagged ACWI by 1.3% a year (IR −0.09), and its three-year excess is currently −6.7% a year. What has to happen for the portfolio to recover that gap, and over what horizon would you accept being judged?

3. The fund's momentum loading is −0.18 (t = −3.9): you systematically buy recent losers. How do you tell a temporarily undervalued company from a value trap, and can you show two examples of each?

4. You are 14 points underweight technology and 12 points overweight health care. Are these deliberate sector views or the residue of stock picks, and what is the largest loss you would tolerate from them?

5. Emerging markets are 17% of the fund versus 11% in ACWI. How do you assess governance and state-ownership risk?

6. Japan is 4 points underweight. Why, given the corporate-governance reforms there?

7. The prospectus allows currency forwards and swaps, equity options and total return swaps. How much were they used last year, and what is the hedging policy?

8. The fund's maximum drawdown (−31%) was deeper than ACWI's (−26%). What portfolio-level risk limits apply?

9. How does the committee resolve disagreements? Does any member have a veto, and how do you guard against groupthink?

10. How much of this strategy does Dodge & Cox run across all vehicles, and how do committee members invest in it?

T. Rowe Price Global Stock Fund (Investor Class)

1. You have been sole portfolio manager since 2012. What is the succession plan, who is the named backup, and would the process survive your departure?

2. Portfolio turnover was 172% last year. How does that fit with a long-term growth philosophy, and what did trading cost the fund?

3. 4.9% of the fund is in unlisted Level 3 positions (Databricks, Anthropic, OpenAI, SambaNova, Waymo and others). What is the limit on private holdings, who values them and how often, and how would you meet heavy redemptions?

4. The prospectus emphasises "high-quality companies", but the fund's profitability (RMW) loading is −0.43 (t = −3.1). How do you define quality, and why does the portfolio load on low-profitability stocks?

5. Technology is 44% of the fund versus 30% for ACWI. What is the fund's total exposure to the AI theme, counting listed and private holdings, and how do you size correlated positions?

6. Your three-year excess return ranged from +15% a year (to December 2020) to −6% (to December 2023). Which decisions caused each, and what did you learn from the drawdown?

7. The momentum loading is +0.14 (t = 2.1). Is momentum part of the process or a by-product?

8. Down-capture is 103% and the maximum drawdown −35% versus −26% for ACWI. Does the fund have any downside risk control, and should investors expect that profile to continue?

9. How large can the strategy grow before capacity hurts results, particularly in private deals and mid-caps?

10. Is an institutional share class available below the Investor Class's 0.81%, and how much do you have invested in the fund yourself?